Growth Momentum To Pick Up; Maintain BUY

Est. Vs. Actual for Q2FY26: Revenue: BEAT; EBITDA (Adj.): BEAT; PAT: BEAT

Changes in Estimates Q2FY26 Result

FY26E/FY27E: Revenue: -8%/-10%; **EBITDA (Adj.):** -7%/-1%; **PAT (Abs.):** -6%/1%

Recommendation Rationale

- **Value-added Products Driving Growth:** The company delivered 12% YoY revenue growth, driven by a 4% YoY increase in volumes and improved realizations. Volume growth was supported by a 27% rise in aluminium volumes and a 5% increase in lead volumes, although overall output was partly affected by capacity constraints and deferments linked to GST-related changes. The share of value-added products increased to 47% of total revenue, aiding profitability and realizations. Adjusted EBITDA stood at Rs 112 Cr, broadly in line with the previous quarter, despite a marginal dip in revenues
- **Capacity Expansion Expected in H2:** Gravita continues to execute its capacity ramp-up plan, under which the current 3.4 Lc MTPA capacity is set to cross 4.4 Lc MTPA by FY26-end (7+ Lc MTPA by FY28).

  Key project updates:

  Mundra Lead Expansion: Phase I (30,000 MTPA) to be commissioned by Nov'25; Phase II (50,000 MTPA) expected by Jan'26; **Lithium-ion Battery Recycling Pilot (Mundra):** Progressing well; commissioning expected in Q3FY26.; **Rubber Recycling Facility (Mundra):** On track for completion by Q4FY26 with meaningful contribution expected from FY27.; **Phagi Lead Capacity Enhancement (45,000 MTPA):** Expected completion by Dec'26.; **Romania facility** continues to stabilize, supporting future export-led growth.

Sector Outlook: Positive

Company Outlook & Guidance: The company reiterated its medium-term targets of achieving 25% volume CAGR and 35% profit CAGR, while sustaining ROIC above 25%. Volume traction is expected to strengthen in H2FY26 as new capacities come onstream and the spillover volumes from Q2 are realised in subsequent months. Over the next 3-4 years, management intends to fully leverage growth opportunities across existing and newly launched business lines. Investments in new verticals such as paper and steel will be pursued selectively, based on visibility of sufficient demand potential. In line with this strategy, the company has reduced its capex plan to Rs 1,225 Cr from Rs 1,500 Cr for the next three years, signalling a more disciplined capital deployment approach focused on optimising returns.

Current Valuation: 27x Sept'27EPS (earlier 32x FY27 EPS)

Current TP: Rs 2,500/share (Earlier: Rs 2,600/share)

Recommendation: We maintain our BUY recommendation on the stock.

Financial Performance

Gravita's Q2FY26 performance surpassed our estimates on all Fronts. Consolidated revenue came in at Rs 1,036 Cr, up 12% YoY and flat QoQ, against our estimate of Rs 997 Cr. Adjusted EBITDA beat estimates at Rs 112 Cr, marking a growth of 10% YoY and flat QoQ. EBITDA margin stood at 10.8%, slightly above the estimated 10.5%, declining by 14 bps YoY and up 6 bps QoQ. PAT stood at Rs 96 Cr, registering a growth of 33% YoY, surpassing expectations by 10%.

Key Financials (Consolidated)

(Rs Cr)	Q2FY26	YoY (%)	QoQ (%)	Axis Est.	Variance
Net Sales	1,036	12%	0%	997	4%
Adj. EBITDA	112	10%	0%	105	7%
EBITDA Margin	10.8%	-14bps	6bps	10.5%	29bps
Net Profit	96	33%	3%	88	10%
EPS (Rs)	13.0	25%	3%	11.9	10%

Source: Company, Axis Securities Research

(CMP as of 31st October, 2025)

CMP (Rs)	1,673
Upside /Downside (%)	49%
High/Low (Rs)	2,475/1,380
Market cap (Cr)	12,351
Avg. daily vol. (1m) Shrs.	3,91,090
No. of shares (Cr)	7.38

Shareholding (%)

	Mar-25	Jun-25	Sep-25
Promoter	59.27	55.88	55.88
FIIs	14.03	15.09	14.65
DIIs	5.44	4.41	4.87
Public	19.9	23.27	23.26
Others	1.35	1.33	1.33

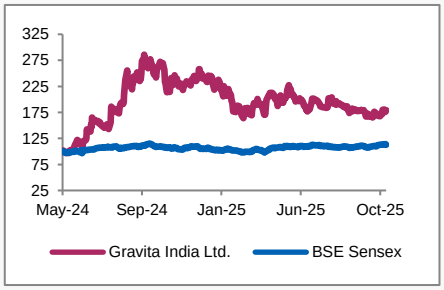
Financial & Valuations

Y/E Mar (Rs Cr)	FY25	FY26E	FY27E
Net Sales	3,869	4,541	5,860
EBITDA	402	508	713
Net Profit	313	430	603
EPS (Rs)	42	58	82
PER (x)	39.3	28.6	20.4
EV/EBITDA (x)	31.0	24.5	17.3
RoE (%)	21%	19%	22%
RoCE (%)	24%	21%	25%

Change in Estimates (%)

Y/E Mar	FY26E	FY27E
Revenue	-8%	-10%
EBITDA	-7%	-1%
PAT	-6%	1%

Relative Performance



Source: Ace Equity, Axis Securities Research

Results Gallery

Q1FY26
Q4FY25
Q3FY25
Q2FY25

Sani Vishe
Research Analyst
sani.vishe@axissecurities.in

Shivani More
Research Associate
shivani.more@axissecurities.in

Outlook

The recycling industry is witnessing structural tailwinds, with increased regulatory focus shifting scrap flows from the unorganised segment to organised players. In this context, the company remains strategically positioned to capitalise on long-term growth opportunities through capacity expansion and deeper penetration across multiple recycling verticals. Supported by a strong balance sheet and prudent capital allocation, the company is set to pursue both organic and inorganic growth pathways. Revenue momentum is expected to be driven by improved scrap availability and incremental capacities, while profitability is likely to scale at a faster pace, supported by an enhanced product mix, higher contribution from value-added offerings, and operating leverage benefits.

Valuation & Recommendation

We have rolled forward our valuation to **FY28E**. While we have revised our FY26 and FY27 revenue estimates downwards, we expect the company to deliver strong EBITDA growth, which shall be extended to FY28. We value the company at **27x Sept'27E EPS**, reflecting expectations of sustained growth and margin resilience as new capacities kick in. We **maintain our BUY rating** on the stock, with a **target price of Rs 2,500/share**, implying an **upside potential of 49%** from the current market price (CMP).

Key Highlights from Concall

- **Company Performance:** The company posted a 4% YoY increase in overall volumes in Q2FY26. Lead volumes rose 5% YoY to 44,187 tons with EBITDA per ton improving to Rs 23,196. Aluminium volumes grew sharply by 27% YoY to 4,458 tons, with EBITDA per ton rising to Rs 14,786. Plastic volumes declined 32% YoY, with EBITDA per ton moderating to Rs 10,122. Consolidated revenue increased 12% YoY and remained flat QoQ. Adjusted EBITDA, including hedging gains, grew 10% YoY and stayed flat sequentially. EBITDA margin remained broadly stable at 10.8% vs 10.9% in Q2FY25.

- **Outlook:** The company expects to commercialise new capacities in Mundra over the next few months, supporting volume growth from Q4FY26 onward. It continues to benefit from improved scrap availability and anticipates better demand from the battery market in the coming quarters. Over the long term, the company aims to increase the share of value-added products to over 50% and remains confident of surpassing this goal. The company reiterated its target of achieving 25% volume CAGR over the next three years and intends to diversify further by increasing non-lead business contribution to over 30%.

- **Profitability Outlook:** Management guidance remains intact, with sustainable EBITDA per kg expected in the range of Rs 19–20 for lead, Rs 12–14 for aluminium, and Rs 10–11 for plastic. The rubber vertical is expected to generate Rs 70–80 Cr in revenue by FY27, with sustainable EBITDA per kg of Rs 7–8 (~30% margin).

- **Capacity Expansion/Capex:** Despite minor delays, capacity expansion projects continue progressing, with installed capacity at 3.4 lakh MTPA. The company targets doubling capacity to 7 lakh MTPA by FY28, highlighting its commitment to scale and margin-accretive growth. For FY26, planned capex is Rs 205 Cr, with Rs 105 Cr already deployed in H1FY26. The overall capex plan has been recalibrated to Rs 1,225 Cr from Rs 1,500 Cr, with a strategic shift from greenfield projects to more cost-efficient expansion at existing facilities in Mundra and Phagi. This approach is expected to deliver comparable capacity at a lower cost of ~Rs 300 Cr. Expansion into steel and paper has been deferred.

  Key project timelines:

  - ✓ Lithium-ion recycling unit (Mundra): Pilot operations to begin in Q3FY26.
  - ✓ Mundra (Lead expansion): Phase 1 (50,000 MTPA) by Nov'25, Phase 2 (50,000 MTPA) by Jan'26.
  - ✓ Phagi (Lead expansion): Additional 45,000 MTPA by Dec'26.
  - ✓ Mundra (Rubber project): Commissioning by Q4FY26, with revenue contribution expected from FY27, aided by the stabilization of the Romania facility.

- **Aluminium Hedging:** The management noted that aluminium futures contracts are likely to be listed on MCX shortly. This development will enable the company to hedge aluminium price volatility, providing improved margin stability and predictability in the aluminium recycling business. The company may consider expanding the Aluminium business depending on the listing of such contracts.

Key Risks to Our Estimates and TP

- Delays in capacity expansion.
- Price fluctuation in key raw materials and key products
- The advent of newer technologies is reducing demand for lead-based batteries.

Change in Estimates

(Rs Cr)

	Revised		Old		% Change	
	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
Revenue	4,541	5,860	4,947	6,516	-8%	-10%
EBITDA (Adj.)	508	713	544	721	-7%	-1%
PAT	430	603	456	600	-6%	1%
EPS	58.20	81.74	61.85	81.26	-6%	1%

Source: Company, Axis Securities Research

Q2FY26 Results Review

(Rs Cr)

Particulars	Q2FY25	Q1FY26	Axis Sec Estm (Rs Cr)	Q2FY26	% Change (YoY)	% Change (QoQ)	Variance (%)
Revenue	**927**	**1,040**	**997**	**1,036**	**12%**	**0%**	**4%**
Net Raw Material consumed	760	841	829	841	11%	0%	
Gross Profit	168	199	168	195	16%	-2%	
Gross Margin %	18.1%	19.1%	16.8%	18.8%	74bps	-33bps	198bps
Employee	46	45	39	40	-14%	-11%	
Other Expenses	58	54	49	53	-8%	-1%	
Total Expenditure	864	939	917	933	8%	-1%	
EBITDA	**101**	**112**	**105**	**112**	**10%**	**0%**	**7%**
EBITDA Margin	**10.9%**	**10.7%**	**10.5%**	**10.8%**	**-14bps**	**6bps**	**29bps**
Less: Depreciation	7	9	9	9	29%	6%	
EBIT	94	103	96	103	9%	0%	
Less: Net Interest	12	6	9	8	-35%	29%	
Add: Other income	2	19	21	17	597%	-13%	
Profit Before Extraordinary Items and Tax	85	116	108	111	31%	-4%	
Profit Before Tax	**85**	**116**	**108**	**111**	**31%**	**-4%**	
Less: Total Tax	13	23	20	15	20%	-33%	
Profit After Tax	**72**	**93**	**88**	**96**	**33%**	**3%**	**10%**
Reported EPS (Rs)	**10.4**	**12.6**	**11.9**	**13.0**	**25%**	**3%**	**10%**

Source: Company, Axis Securities Research

Q2FY26 Sales Volumes and EBITDA Per MT

Operations	UoM	Q2FY26	Q1FY26	QoQ	Q2FY25	YoY
Sales Volumes						
Lead	MT	44,187	46,215	-4%	42,151	5%
Aluminium	MT	4,458	4,812	-7%	3,515	27%
Plastic	MT	2,040	2,414	-15%	3,000	-32%
EBITDA Per MT						
Lead	Rs/Cr.	23,196	21,790	6%	21,642	7%
Aluminium	Rs/Cr.	14,786	17,140	-14%	18,386	-20%
Plastic	Rs/Cr.	10,122	10,213	-1%	10,497	-4%

Source: Company, Axis Securities Research

Financials (Consolidated)

Profit & Loss

(Rs Cr)

Y/E Mar	FY25	FY26E	FY27E	FY28E
Net Sales	**3,869**	**4,541**	**5,860**	**7,228**
Growth (%)	22.4	17.4	29.0	23.3
Other Operating Income	0	0	0	0
Total Income	**3,869**	**4,541**	**5,860**	**7,228**
Raw Material Expense	3,173	3,702	4,747	5,819
Employee Expense	159	177	229	282
Power & Fuel Expense	0	0	0	0
Other Operating Expense	212	225	261	335
Operating Profit	**324**	**438**	**623**	**792**
Growth (%)	14	35	42	27
Operating Margin (%)	8.4	9.6	10.6	11.0
Hedging Income	78	70	90	120
EBITDA (Adj.)	**402**	**508**	**713**	**912**
EBITDA (Adj.) Margin (%)	10.4	11.2	12.2	12.6
Other Income	34	55	55	60
Depreciation	29	38	43	65
EBIT	**407**	**525**	**725**	**907**
Interest Cost	43	31	31	31
Profit Before Tax	**363**	**494**	**693**	**876**
Tax	51	64	90	114
Profit After Tax	**313**	**430**	**603**	**762**
Growth (%)	29.1	37.3	40.4	26.3
Share of Profit of an associate/OCI	**0**	**0**	**0**	**0**
Net Profit (Adjusted)	**313**	**430**	**603**	**762**
EPS	**42.4**	**58.2**	**81.7**	**103.2**

Source: company, Axis Securities Research

Balance Sheet

(Rs Cr)

Y/E Mar	FY25	FY26E	FY27E	FY28E
Equity Share Capital	15	15	15	15
Reserves & Surplus	2055	2438	2971	3636
Minority Interest and Others	8	8	8	8
Net Worth	**2078**	**2460**	**2993**	**3658**
Non-Current Liabilities	**205**	**205**	**205**	**205**
Long-Term Borrowings	193	193	193	193
Other Non-Current Liabilities	12	12	12	12
Current Liabilities	**232**	**250**	**265**	**282**
ST Borrowings, Current Maturity	93	93	93	93
Other Current Liabilities	139	157	172	189
Total (Equity and Liabilities)	**2515**	**2915**	**3464**	**4146**
Non-Current Assets	**556**	**724**	**1071**	**1636**
Fixed Assets (Net Block)	475	643	990	1556
Non-Current Investments	48	48	48	48
Long-Term Tax Assets	8	8	8	8
Other Non-Current Assets	9	9	9	9
Current Assets	**1959**	**2191**	**2393**	**2509**
Cash & Bank Balances	95	137	209	122
Inventories	617	757	895	1004
Receivables	275	315	407	502
Other Current Assets	973	982	882	882
Total (Assets)	**2515**	**2915**	**3464**	**4146**

Source: company, Axis Securities Research

Cash Flow

(Rs Cr)

Y/E Mar	FY25	FY26E	FY27E	FY28E
PBT	**363**	**494**	**693**	**876**
Depreciation & Amortisation	29	38	43	65
Interest expense	43	31	31	31
Interest / Dividend Recd	-29	0	0	0
Other Adjustments	4	0	0	0
(Inc)/Dec in working capital	-79	-163	-214	-187
Tax paid	-51	-64	-90	-114
CF from operating activities	**282**	**336**	**464**	**671**
Capital expenditure	-107	-206	-390	-630
(Purchase) / Sale of Investments	-482	-9	100	0
Income from investments and others	-275	0	0	0
CF from investing activities	**-864**	**-215**	**-290**	**-630**
Inc/(Dec) in share capital	981	0	0	0
Inc/(Dec) in debt	-262	0	0	0
Dividends & Interest paid	-80	-78	-102	-128
Other Financial Activities	0	0	0	0
CF from financing activities	**640**	**-78**	**-102**	**-128**
Net cash flow	**59**	**42**	**72**	**-87**
Opening balance	36	95	137	209
Other Bank Balance	0	0	0	0
Closing balance	**95**	**137**	**209**	**122**

Source: company, Axis Securities Research

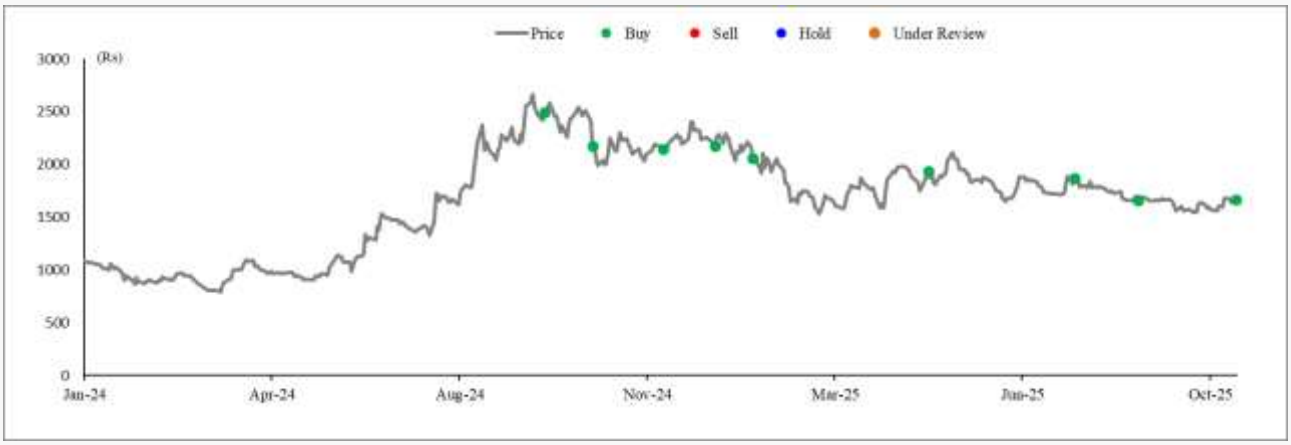
Ratio Analysis

(x) / (%)

Y/E Mar	FY25	FY26E	FY27E	FY28E
Per share data				
No. of shares (Cr)	7.4	7.4	7.4	7.4
BVPS (INR)	281.5	333.4	405.6	495.7
CEPS (INR)	46.3	63.3	87.6	112.0
DPS (INR)	6.4	9.5	13.1	16.8
Financial Ratios				
RoE (%)	21.4	18.9	22.1	22.9
RoCE (%)	24.0	21.2	24.7	25.7
Debt/Equity (x)	0.1	0.1	0.1	0.1
EBIT/Interest (x)	9.4	16.7	23.0	28.8
Turnover Ratios				
Asset turnover (x)	1.5	1.6	1.7	1.7
Sales/Net FA (x)	8.1	7.1	5.9	4.6
Receivable days	25.1	25.0	25.0	25.0
Inventory days	65.6	60.0	55.0	50.0
Payable days	5.4	5.0	5.0	5.0
Working capital days	85.2	80.0	75.0	70.0
Liquidity Ratios				
Current ratio (x)	8.4	8.8	9.0	8.9
Quick ratio (x)	5.8	5.7	5.6	5.3
Interest cover (x)	8.9	15.9	21.6	27.3
Net debt/Equity (x)	0.1	0.1	0.0	0.0
Valuation (x)				
PE	39.3	28.6	20.4	16.1
PEG (x) YoY growth	1.3	0.8	0.5	0.6
P/BV	5.9	5.0	4.1	3.4
EV/EBITDA	31.0	24.5	17.3	13.7
EV/Sales	3.2	2.7	2.1	1.7
EV/EBIT	30.7	23.7	17.1	13.7

Source: company, Axis Securities Research

Gravita India Ltd Price Chart and Recommendation History



Date	Reco	TP	Research
25-Sep-24	BUY	3,000	Initiating Coverage
23-Oct-24	BUY	3,000	Result Update
02-Dec-24	BUY	3,000	Top Picks
01-Jan-25	BUY	3,000	Top Picks
24-Jan-25	BUY	3,000	Result Update
06-May-25	BUY	2,600	Result Update
30-Jul-25	BUY	2,600	Result Update
05-Sep-25	BUY	2,600	AAA
03-Nov-25	BUY	2,500	Result Update

Source: Axis Securities Research

Axis Direct is the brand under Axis Securities Limited, which is a 100% subsidiary of Axis Bank Limited. Axis Bank Ltd. is a listed public company and one of India's largest private sector banks, and has its various subsidiaries engaged in businesses of Asset management, NBFC, Merchant Banking, Trusteeship, Venture Capital, Stock Broking, the details in respect of which are available on www.axisbank.com.

Axis Securities Limited is registered as a

- Stock Broker, Depository Participant, Portfolio Manager, Investment Adviser and Research Analyst with the Securities and Exchange Board of India
- Corporate Agent with Insurance Regulatory and Development Authority of India
- Point of Presence with Pension Fund Regulatory and Development Authority
- Distributor for Mutual Funds with AMFI

Registration Details:

SEBI Single Reg. No.- NSE, BSE, MSEI, MCX & NCDEX – INZ000161633 | SEBI Depository Participant Reg. No. IN-DP-403-2019 | Portfolio Manager Reg. No.- INP000000654 | Investment Advisor Reg No. INA000000615 | SEBI-Research Analyst Reg. No. INH000000297 | IRDA Corporate Agent (Composite) Reg. No. CA0073| PFRDA – POP Reg. No. POP387122023 | Mutual Fund Distributor ARN- 64610.

Compliance Officer Details: Name – Mr Rajiv Kejriwal, Tel No. – 022-68555574, Email id – compliance.officer@axisdirect.in.;

Registered Office Address – Axis Securities Limited, Unit No.002, Building- A, Agastya Corporate Park, Piramal Realty, Kamani Junction, Kurla (W), Mumbai – 400070.

Administrative office address: Axis Securities Limited, Aurum Q Parć, Q2 Building, Unit No. 1001, 10th Floor, Level – 6, Plot No. 4/1 TTC, Thane – Belapur Road, Ghansoli, Navi Mumbai, Pin Code – 400710.

In case of any grievances, please call us at 022-40508080 or write to us at helpdesk@axisdirect.in.

We hereby declare that our activities have neither been suspended nor have we defaulted with any stock exchange authority with whom we are registered in the last five years. However, SEBI, Exchanges, Clearing Corporations and Depositories, etc. have conducted the routine inspection and based on their observations have issued advice/warning/show cause notices/deficiency letters/ or levied penalty or imposed charges for certain deviations observed in inspections or in the normal course of business, as a Stock Broker/Depository Participant/Portfolio Manager. We have not been debarred from doing business by any Stock Exchange/SEBI or any other authorities; nor has our certificate of registration been cancelled by SEBI at any point in time.

Investments in the securities market are subject to market risks. Read all the related documents carefully before investing.
By referring to any particular sector, Axis Securities does not provide any promise or assurance of a favourable view for a particular industry or sector or business group in any manner.

Registration granted by SEBI, membership of BASL (in case of IAs) and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. None of the research recommendations promise or guarantee any assured, minimum or risk-free return to the investors. Our research should not be considered as an advertisement or advice, professional or otherwise. This research report and its respective content by Axis Securities made available on this page or otherwise do not constitute an offer to sell or purchase or subscribe for any securities or solicitation of any investments or investment services for the residents of Canada and/or the USA or any jurisdiction where such an offer or solicitation would be illegal.

Subject company(ies) may have been clients during the twelve months preceding the date of distribution of the research report. Derivatives are a sophisticated investment device. The investor is requested to take into consideration all the risk factors before actually trading in derivative contracts.

Past performance should not be taken as an indication or guarantee of future performance, and no representation or warranty, express or implied, is made regarding future performance. Information, opinions and estimates contained in this report reflect a judgment of its original date of publication by ASL and are subject to change without notice. The price, value of and income from any of the securities or financial instruments mentioned in this report can fall as well as rise. The value of securities and financial instruments is subject to exchange rate fluctuation that may have a positive or adverse effect on the price or income of such securities or financial instruments.

The information and opinions in this report have been prepared by Axis Securities and are subject to change without notice. The report and information contained herein are strictly confidential and meant solely for the selected recipient and may not be altered in any way, transmitted to, copied or distributed, in part or in whole, to any other person or to the media or reproduced in any form, without prior written consent of Axis Securities. The report must not be used as a singular basis for any investment decision. The views herein are of a general nature and do not consider the risk appetite, investment objective or the particular circumstances of an individual investor. The investor is requested to take into consideration all the risk factors, including their financial condition, suitability to risk return profile and the like and take professional advice before investing.

While we would endeavour to update the information herein on a reasonable basis, Axis Securities is under no obligation to update or keep the information current. Also, there may be regulatory, compliance or other reasons that may prevent Axis Securities from doing so. Non-rated securities indicate that the rating on a particular security has been suspended temporarily and such suspension is in compliance with applicable regulations and/or Axis Securities policies, in circumstances where Axis Securities might be acting in an advisory capacity to this company, or in certain other circumstances.

This report is based on information obtained in good faith from public sources and sources believed to be reliable, but no independent verification has been made, nor is its accuracy or completeness guaranteed. This report and information herein are solely for informational purposes and shall not be used or considered as an offer document or solicitation of offer to buy or sell or subscribe for securities or other financial instruments. Though disseminated to all the customers simultaneously, not all customers may receive this report at the same time. Axis Securities will not treat recipients as customers by virtue of their receiving this report. Nothing in this report constitutes investment, legal, accounting and/or tax advice or a representation that any investment or strategy is suitable or appropriate to your specific circumstances. The securities discussed and opinions expressed in this report may not be suitable for all investors, who must make their own investment decisions, based on their own investment objectives, financial positions and the needs of the specific recipient. This may not be taken in substitution for the exercise of independent judgment by any recipient. The recipient should independently evaluate the investment risks. The value and return on investment may vary because of changes in interest rates, foreign exchange rates or any other reason. Axis Securities accepts no liabilities whatsoever for any loss or damage of any kind arising out of the use of this report. Past performance is not necessarily a guide to future performance. Investors are advised to see the Risk Disclosure Document to understand the risks associated before investing in the securities markets. Actual results may differ materially from those set forth in projections. Forward-looking statements are not predictions and may be subject to change without notice. Axis Securities or its associates might have managed or co-managed a public offering of securities for the subject company or might have been mandated by the subject company

NEERAJ CHADAWAR Digitally signed by NEERAJ CHADAWAR Date: 2025.11.02 22:58:58 +05'30'

for any other assignment in the past twelve months. Axis Securities or its associates might have received any compensation from the companies mentioned in the report during the period preceding twelve months from the date of this report for services in respect of managing or co-managing public offerings, corporate finance, investment banking or merchant banking, brokerage services or other advisory services in a merger or specific transaction. Axis Securities or its associates might have received any compensation for products or services other than investment banking or merchant banking, or brokerage services from the companies mentioned in the report in the past twelve months. Axis Securities encourages independence in research report preparation and strives to minimise conflict in the preparation of research reports. Axis Securities or its associates, or its analysts, did not receive any compensation or other benefits from the companies mentioned in the report or a third party in connection with the preparation of the research report. Accordingly, neither Axis Securities nor Research Analysts and/or their relatives have any material conflict of interest at the time of publication of this report. Please note that Axis Securities has a proprietary trading desk. This desk maintains an arm's length distance from the Research team, and all its activities are segregated from Research activities. The proprietary desk operates independently, potentially leading to investment decisions that may deviate from research views.

Compensation of our Research Analysts is not based on any specific merchant banking, investment banking or brokerage service transactions.

Research Analyst may have served as an officer, director or employee of the subject company(ies). Axis Securities or Research Analysts, or their relatives, do not own 1% or more of the equity securities of the Company mentioned in the report as of the last day of the month preceding the publication of the research report. Since associates of Axis Securities and Axis Securities as an entity are engaged in various financial service businesses, they might have financial interests or actual/beneficial ownership of one per cent or more or other material conflicts of interest in various companies, including the subject company/companies mentioned in this report. Axis Securities may have issued other reports that are inconsistent with and reach different conclusions from the information presented in this report. Certain transactions-including those involving futures, options and other derivatives as well as non-investment grade securities - involve substantial risk and are not suitable for all investors. Reports based on technical analysis centre on studying charts of a stock's price movement and trading volume, as opposed to focusing on a company's fundamentals and as such, may not match with a report on a company's fundamentals.

We and our affiliates/associates, officers, directors, and employees, Research Analyst(including relatives) worldwide may: (a) from time to time, have long or short positions in, and buy or sell the securities thereof, of company (ies) mentioned herein or (b) be engaged in any other transaction involving such securities and earn brokerage or other compensation or act as a market maker in the financial instruments of the subject company/company (ies) discussed herein or act as advisor or lender/borrower to such company (ies) or have other potential/material conflict of interest with respect to any recommendation and related information and opinions at the time of publication of Research Report or at the time of public appearance. Axis Securities may have proprietary long/short positions in the above-mentioned scrip(s) and therefore may be considered as interested. This should not be construed as an invitation or solicitation to do business with Axis Securities. Axis Securities is also a Portfolio Manager. Portfolio Management Team (PMS) takes its investment decisions independently of the PCG research, and accordingly, PMS may have positions contrary to the PCG research recommendation.

This research report is issued in India by Axis Securities Limited in accordance with the Securities and Exchange Board of India (Research Analysts) Regulations, 2014. It is intended solely for persons residing in India. The report is not directed at or intended for distribution to, or use by, any person or entity resident in the United States of America, Canada, or in any jurisdiction where such distribution, publication, availability, or use would be contrary to applicable securities laws, including the U.S. Securities Exchange Act of 1934, regulations of the U.S. Securities and Exchange Commission (SEC), and regulations of the Canadian Securities Administrators (CSA).

RATING SCALE: Definitions of ratings

Ratings	**Expected absolute returns over 12 – 18 months**
BUY	More than 10%
HOLD	Between 10% and -10%
SELL	Less than -10%
NOT RATED	We have forward-looking estimates for the stock, but we refrain from assigning a valuation and recommendation.
UNDER REVIEW	We will revisit our recommendation, valuation and estimates on the stock following recent events.
NO STANCE	We do not have any forward-looking estimates, valuations or recommendations for the stock.

Note: Returns stated in the rating scale are our internal benchmark.